



BIGLAW VS. PUBLIC INTEREST

Make the Biggest Financial Decision of Your Legal Career with
Clarity

Earnings · Loan Forgiveness · LRAP · Lifestyle Tradeoffs

IvyAmbition

T14 Law School Admissions Consulting



WHAT'S INSIDE

01

The Real Numbers

What each path actually pays after taxes

02

The Loan Forgiveness Math

How PSLF and LRAP change the entire calculus

03

The Lifestyle Comparison

Hours, autonomy, and the effective hourly rate

04

The BigLaw-to-PI Pipeline Myth

Why "I'll do BigLaw for 3 years then switch" rarely works

05

Making the Decision

A five-step structured framework

CHAPTER 01

The Real Numbers

The common narrative is "BigLaw pays \$215,000 and public interest pays \$55,000." Both numbers are roughly correct as starting salaries, but the comparison is misleading because it ignores loan forgiveness, LRAP, tax implications, lifestyle costs, and long-term earning trajectories.

BigLaw Compensation (2025-2026 Cravath Scale)

Year	Base	Bonus	Total
1	\$225,000	\$20,000	\$245,000
2	\$235,000	\$22,500	\$257,500
3	\$260,000	\$25,000	\$285,000
4	\$290,000	\$27,500	\$317,500
5	\$325,000	\$32,500	\$357,500
6	\$345,000	\$40,000	\$385,000
7	\$370,000	\$50,000	\$420,000
8	\$390,000	\$65,000	\$455,000

→ **REALITY CHECK:** After federal, state, and city taxes in NYC, a first-year associate takes home approximately **\$145,000-\$155,000**. Still excellent. But not \$245,000.

Public Interest Compensation

Employer Type	Starting Salary
Federal Government (DOJ, SEC, FTC)	\$75,000 – \$90,000
State Government (DA, PD)	\$55,000 – \$75,000

Legal Aid Organizations	\$50,000 – \$65,000
Nonprofits	\$48,000 – \$70,000
Federal Public Defenders	\$70,000 – \$85,000

After 10 years, federal government reaches \$120,000-\$160,000. State government reaches \$80,000-\$120,000. These are meaningful careers with genuine financial stability, especially combined with loan forgiveness.

CHAPTER 02

The Loan Forgiveness Math

Public Service Loan Forgiveness (PSLF) eliminates your remaining federal balance after 120 qualifying payments (10 years) while working for a qualifying employer. Under income-driven repayment, your monthly payment is 10-20% of discretionary income. **This changes everything.**

PUBLIC INTEREST + PSLF	BIGLAW REPAYMENT
\$200K debt, \$60K salary Monthly payment: ~\$250-\$350 Total paid over 10 years: ~\$35,000 Remaining balance forgiven: \$200K+ PSLF forgiveness is tax-free	\$200K debt, \$245K salary Monthly payment: \$4,000-\$5,000 Total paid over 4-5 years: \$230-250K Includes \$30-50K in interest All paid out of pocket

\$195,000

The approximate difference in out-of-pocket loan cost between BigLaw repayment and public interest + PSLF. The "cost" of the lower salary is partially offset by this loan forgiveness.

LRAP Programs

Many T14 schools offer LRAP programs that cover your loan payments while in public interest, effectively making **law school free** for PI careers. The best programs (Yale, NYU, Harvard, Stanford) cover 100% if salary is below threshold. You go to a T14, take on \$200K+ debt, enter PI, the school covers payments, and after 10 years PSLF wipes the balance. Net cost: **close to zero**.

CHAPTER 03

The Lifestyle Comparison

BIGLAW	PUBLIC INTEREST
Hours: 50-60/week baseline, spikes to 70-80 Billable target: 1,900-2,200/year Autonomy: Low at junior level Client contact: Minimal early on Intellectual stimulation: High Resources: World-class Job security: Up-or-out culture	Hours: 40-50/week typical Schedule: Often genuine 40-hour weeks Autonomy: High, earlier in career Client contact: Extensive from day one Meaning: Often rated higher Benefits: Pension, federal holidays Job security: Generally strong

The Effective Hourly Rate

BigLaw first-year: $\$245,000 \div 2,500 \text{ hours} = \text{\$98/hour before taxes}$. Public interest: $\$60,000 \div 2,000 \text{ hours} = \text{\$30/hour}$. The gap is real but smaller than raw salaries suggest. Factor in PSLF and LRAP, and the PI attorney's effective 10-year compensation is significantly higher than \$60,000.

CHAPTER 04

The BigLaw-to-PI Pipeline Myth

The most common plan: "I'll do BigLaw for 3-5 years, pay off loans, then transition to public interest." Rational on paper. **Rarely works in practice.**

1

Lifestyle Inflation

After 2-3 years of \$245K+ compensation, the prospect of a 60-70% pay cut feels increasingly painful. What was supposed to be 3 years becomes 5, then 7, then "after I make partner." The **golden handcuffs** are real.

2

Skills Divergence

BigLaw associate work (doc review, due diligence, brief sections) develops different skills than PI work (client counseling, full case management, trial prep). After 5 years in BigLaw, you may be overqualified on paper but **under-experienced** for the PI work you want.

3

Network Divergence

Your professional network after 5 years in BigLaw is other BigLaw attorneys and corporate clients. Your PI connections from law school clinics have atrophied. Breaking into PI hiring from the private sector is **harder than entering directly**.

★ **THE DATA:** The majority of people who plan to leave BigLaw after 3 years are still in BigLaw after 5. This doesn't mean the pipeline never works — it does for people who live below their means, maintain PI connections, and set a hard departure date. But go in with clear eyes.

CHAPTER 05

Making the Decision

1

Calculate Your Actual 10-Year Position

Run the numbers for both paths including PSLF, LRAP, taxes, and realistic spending. The result is often **closer than you expect**.

2

The Equal-Pay Test

Ask: if both paths paid the same, which would you choose? Your answer reveals genuine preference. Your job is deciding if the financial gap is large enough to override it.

3

Talk to People 5-10 Years In

Not 1-2 years in. Talk to a mid-level BigLaw associate and a mid-career PI attorney. Ask: what's your typical day? Are you happy? Would you choose this again?

4

Consider Non-Financial Priorities

Do you want to start a family in your late 20s? BigLaw hours make it harder. Want geographic flexibility? PI offers more options. Want early autonomy? PI gives you your own caseload sooner.

5

Accept That You Can Change

This isn't irreversible. But transition costs (financial, professional, personal) are real. The more honest you are now, the less costly any correction later.

WANT HELP THINKING THROUGH YOUR PATH?

IvyAmbition offers Strategy Sessions where we help you think through the financial and career implications of your law school decision.

Book a free 15-minute consultation at ivyambition.com